

PRODUCTION PICTURE

● With rising sales, capacity expansion is a key focus area, with capex of ₹5,000 crore on the cards

● MG plans to raise capacity to 300,000 units by 2028 from 120,000 units a year now, by adding a second plant

Time	Investment	Yearly sales	Plant	Yearly capacity	Model launch	EV's share in total sales
2017-22	₹4,000 crore	48,000 units	Halol, Gujarat	70,000 units	4	12%
2023-25	NA	100,000 units	Halol, Gujarat	120,000 units	1-3	30-35%
2026-28	₹5,000 crore	Over 120,000 units	Second plant at Halol, Gujarat	300,000 units	4-5	85%

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a world-renowned British brand, cutting-edge MG technology and JSW's local manufacturing knowledge and acumen, I have no doubt that JSW MG will make world-leading products in India for India and the world," he had said at the launch, adding that the goal was to become India's leading auto OEM in the NEV segment. MG plans to introduce at least two new EV models every year, apart from expanding its portfolio of internal combustion engine (ICE)-powered cars.

But MG faces stiff competition. Tata Motors dominates the PV segment of the EV market in India. However, sales of EVs saw a decline in Q2FY25, including at Tata Motors, because of regulatory obstacles and lack of subsidies. "EV sales in the personal segment were affected by the lapse of registration and road tax waivers in key states. Fleet EV sales continued to remain impacted due to lapse of FAME II and non-inclusion of the fleet segment in the PM E-DRIVE Scheme," said Shailesh Chandra, Managing Director, Tata Motors Passenger Vehicles Ltd and Tata

Passenger Electric Mobility Ltd, in a statement. Despite slowing growth, MG expects the share of EV passenger cars should be well over 15% by 2030.

MG's push to localise production of EV cells and key tech is not without rationale. With cells being the costliest part of an EV, localising its production and an in-house supply chain could prove to be a deciding factor. "Currently, a lot of components like cells and tech are imported from China, the world leader in EV technologies. So, it is important for the development of the EV market in India that we quickly learn the tech and create an EV ecosystem here," says FADA's Singhania.

And that is where MG's partnership with the JSW Group becomes important. JSW has already announced plans to manufacture EV batteries. "We can buy cells locally from them," says Chaba. This inter-group synergy in production and supply will help MG cut costs, say experts.

Further, JSW has already applied under the PLI scheme to produce specialty steel that is costlier

than regular steel.

"There is a lot of value in terms of synergies with JSW's businesses, especially steel and energy production," says Chaba, as both are crucial for the EV market's growth and MG's future in India.

"This is how we will push the localisation bid. Second, we are also working to bring more vendors near our plant and build an ecosystem, which will help us reduce the time to develop new components and start local production, while ensuring just-in-time inventory," he explains.

To localise tech used in connected cars, his team is also in talks with leading Indian companies. MG is also working on possible localisation of electric drive unit (EDU) production with a handful of players. An EDU is a module that integrates the motor-generator and power electronics in a single system, which helps in achieving synergy in EVs. Much like the synergy MG and JSW Group need to be able to pull off this PV revolution. **BT**

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